



Digital Asset Regulations 2024

QFC Regs 2024-

The Minister of Commerce and Industry enacts the following regulations under the Qatar Financial Centre Law (Law No (7) of 2005).

Signatory:	Mohammed bin Hamad bin Qassim Al-Thani Minister of Commerce and Industry of the State of Qatar
On:	01 September 2024
Corresponding to:	Safar 28, 1446 AH



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Part 1 Introduction

Article 1 Name of Regulations

These Regulations are the Digital Asset Regulations 2024.

Article 2 Application

- (1) These Regulations are made by the Minister pursuant to Article 9 of the QFC Law and apply in the QFC.
- (2) These Regulations apply to:
 - (a) tokens meeting the criteria specified in these Regulations (***permitted tokens***, see Article 9);
 - (b) any transaction involving a permitted token; and
 - (c) the provision of token services (see Chapter 3).
- (3) To the extent permitted by the QFC Law, any laws, rules and regulations of the State concerning the matters dealt with by or under these Regulations do not apply.

Article 3 Commencement

These Regulations come into force on the date of their signature by the Minister.

Article 4 Language

- (1) In accordance with Article 9 of the QFC Law, these Regulations are written in English.
- (2) Any translation of these Regulations into another language is not authoritative and in the event of any discrepancy between the English text and any other version, the English text prevails.

Article 5 Interpretation

- (1) In these Regulations:
 - (a) a reference to any law, regulation or rule is a reference to that law, regulation or rule as amended or re-enacted from time to time; and
 - (b) words in the singular include the plural and words in the plural include the singular unless the context requires otherwise.
- (2) The headings in these Regulations do not affect the interpretation of the Regulations.
- (3) A reference in these Regulations to an Article by number only, and without further identification, is a reference to the Article of that number in these Regulations.

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- (4) A reference in an Article or other division of these Regulations to a paragraph, sub-paragraph or Article by number or letter only, and without further identification, is a reference to a paragraph, sub-paragraph or Article of that number or letter contained in the Article or other division of these Regulations in which that reference occurs.

Article 6 Notes and examples

- (1) A note in these Regulations is explanatory and is not part of the Regulations.
- (2) An example in these Regulations is part of the Regulations.
- (3) An example is not exhaustive, and may extend, but does not limit, the meaning of these Regulations or the particular provision of these Regulations to which it relates.

Article 7 Definitions

In these Regulations:

Authority means the Qatar Financial Centre Authority established pursuant to Article 3 of the QFC Law;

certificate of validation has the meaning given by Article 12 (2);

distributed ledger technology means a technology that enables the operation and use of distributed ledgers, and for this definition:

- (a) **distributed ledger** means an information repository that keeps records of transactions and that is shared across, and synchronised between, a set of distributed network nodes using a consensus mechanism; and
- (b) **distributed network node** means a device or process that is part of a network and that holds a complete or partial replica of records of all transactions on a distributed ledger;

entity means a body corporate, partnership or unincorporated association;

excluded token has the meaning given by Article 9 (2);

investment token has the same meaning as in the Investment Token Rules 2024;

licensed means licensed by the Authority;

person includes any natural or legal person, body corporate or unincorporate, including a branch, company, partnership, unincorporated association, government or state;

QFC means the Qatar Financial Centre;

QFC Court or **Court** means the Civil and Commercial Court of the QFC established pursuant to Article 8 of the QFC Law;

QFC Law means the Qatar Financial Centre Law, Law No. (7) of 2005 (as amended);

operating a token exchange has the meaning given by Article 22 (1);

permitted token has the meaning given by Article 9 (1);

Regulatory Authority means the Qatar Financial Centre Regulatory Authority established pursuant to Article 8 of the QFC Law;

specified product has the same meaning as in the Financial Services Regulations;

token has the meaning given by Article 8 (1);

token custodian has the meaning given by Article 21 (2);

token custody services has the meaning given by Article 21 (1);

token exchange has the meaning given by Article 22 (3);

token generation has the meaning given by Article 20 (1);

token generator has the meaning given by Article 20 (2);

token infrastructure has the meaning given by Article 8 (4);

tokenised has the meaning given by Article 8 (3);

token service has the meaning given by Article 18 (3);

token technology guidance has the meaning given by Article 11 (1);

token transfer service provider has the meaning given by Article 23 (3);

token transfer services has the meaning given by Article 23 (1);

transfer, in relation to a token, has the meaning given by Article 14 (1);

underlying has the meaning given by Article 8 (2);

validation has the meaning given by Article 19 (1);

validator has the meaning given by Article 19 (2).

Part 2 Tokens: ownership, transfer, cancellation etc.

Article 8 **Meaning of *token*, *underlying*, *tokenised* and *token infrastructure***

- (1) In these Regulations, ***token*** means a unique electronic data unit that:
 - (a) is cryptographically secured;
 - (b) is a digital representation of real or personal property rights, including contractual rights; and
 - (c) is capable of being issued, transferred or stored using distributed ledger technology or other similar technology.
- (2) A right represented by a token is referred to in these Regulations as an ***underlying***.
- (3) An underlying represented by a token is referred to in these Regulations as having been ***tokenised***.
- (4) The distributed ledger technology or other similar technology used to issue, transfer and store a token is referred to in these Regulations as ***token infrastructure***.

Article 9 **Meaning of *permitted token***

- (1) ***Permitted token*** means a token that:
 - (a) is generated in accordance with Article 12; and
 - (b) is not an excluded token.
- (2) ***Excluded token*** means:
 - (a) a token that is designated in a notice or rules under Article 10 of these Regulations or in a notice under Rule 2.1.3 (1) (b) of the Investment Token Rules 2024, or a token of a category designated in such a notice or rules; or
 - (b) a token that:
 - (i) does not represent a right in any property (other than the token itself); or

- (ii) is a substitute for, or represents, currency, or can otherwise be used as a means of payment.

Examples

A cryptocurrency token that is used as an alternative to fiat currencies but is not issued or backed by any governmental authority and does not represent any ‘off-chain’ property, is an example of an excluded token.

A token commonly referred to as a stablecoin, is an example of an excluded token. This is because a stablecoin is regarded as a substitute for currency that can be used as a means of payment.

However, a token representing a right to a commodity, such as a precious metal, is not an excluded token even though it may be tradeable.

Article 10 Power to prohibit tokenisation of certain underlyings

- (1) The Authority may:
 - (a) make rules; or
 - (b) publish a notice,designating tokens representing a right, or category of rights, as excluded tokens.
- (2) The Authority may amend, withdraw or substitute a notice.

Note The Authority may amend rules by virtue of Article 12 of the QFC Authority Regulations.
- (3) Rules or a notice under this Article may not designate a right or category of rights mentioned in rule 2.1.1 (3) of the Investment Token Rules 2024 (rights in specified products and similar rights).

Note The Regulatory Authority may by notice designate tokens representing certain rights as excluded tokens. See rule 2.1.3 (1) (b) of the Investment Token Rules 2024.

Article 11 Token technology guidance

- (1) The Authority may give guidance (*token technology guidance*) relating to token infrastructure on which permitted tokens may be generated, stored and transferred.
- (2) The Authority must publish any token technology guidance.
- (3) The Authority may amend, withdraw or substitute any token technology guidance.

Article 12 Generation of permitted tokens

- (1) A permitted token may be generated only by taking the following steps:
 - (a) the owner of a right which is to be tokenised obtains a certificate of validation from a validator;

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- (b) the owner of the right makes a request to a token generator for the right to be tokenised; and
 - (c) the generator generates a token on token infrastructure representing the underlying right and provides:
 - (i) the owner of the right with the means to exercise the power to transfer the token on the token infrastructure; or
 - (ii) a person acting on the owner's behalf (for example, the owner's custodian) with the means to exercise that power on the owner's behalf.
- (2) A ***certificate of validation*** is a certificate issued by a validator:
- (a) describing the right that is to be tokenised; and
 - (b) stating that the validator is satisfied that the person purporting to be the owner of the right is in fact the owner.

Article 13 Ownership of tokens

- (1) Ownership of a permitted token confers ownership in the underlying represented by the token.
- (2) A person who controls the power to transfer a permitted token may be presumed to be the owner of the token.
- (3) That presumption may be displaced by an order of the QFC Court stating that the person did not lawfully acquire:
 - (a) control over the power to transfer the permitted token; or
 - (b) ownership of the underlying.
- (4) Such an order may be made only on an application by a validator or any other person who the Court thinks has an interest in determining the ownership of the token or underlying in question.
- (5) Before granting an order under paragraph (3), the Court may take evidence from any other party it thinks has an interest.
- (6) In granting an order under paragraph (3), the Court may make any additional order it considers necessary or appropriate in the circumstances.

Article 14 Transfer of permitted tokens

- (1) A transfer of a permitted token may be effected only by transferring the control over the power to transfer the token. Any reference in these Regulations to the ***transfer*** of a token is a reference to transferring control over the power to transfer the token.
- (2) The transfer of a permitted token results in the transfer of the underlying to the transferee.
- (3) An underlying may be transferred only by transferring the permitted token representing it.
- (4) This Article applies despite any formalities or other requirements relating to the transfer of an underlying imposed by a provision in, or made under, any other regulations or rules applying in the QFC.

Note The transfer of an underlying by any means other than by transferring the control over the power to transfer the permitted token representing the underlying is void and has no effect.

Article 15 Control of the power to transfer

Control over the power to transfer a permitted token is held by a person (“P”) if:

- (a) P is capable of transferring the token to another person through token infrastructure and in accordance with the procedures and protocols of that infrastructure;
- (b) P is capable of effecting the transfer by instructing another person; or
- (c) P otherwise has the power to effect the transfer.

Article 16 Cancelling a token

- (1) A permitted token may be cancelled only as specified in paragraphs (2) to (4).
- (2) A permitted token may be cancelled if:
 - (a) on the generation of the token, the terms, conditions or protocols of the token require or permit it to be cancelled after a passage of time, or on the occurrence of an event; and
 - (b) the details of this are disclosed to any person acquiring the token.
- (3) A permitted token must be cancelled if the underlying represented by the token ceases to exist by virtue of any rules, regulations or other law applicable in the QFC.

Examples

- 1 If a permitted token represents a share in a company which is subject to a buy back and, in accordance with the Companies Regulations, the share is to be

cancelled (rather than retained as a treasury share, for example), the token must therefore be cancelled.

- 2 If a permitted token represents a unit in a collective investment fund which is redeemed in accordance with rules applicable to such a fund and the unit is extinguished, the token must be cancelled.
- (4) A permitted token may be cancelled by order of the QFC Court on an application under paragraph (5) or Article 17.
- (5) The owner of a token (“O”) may make an application to the QFC Court for permission to cancel the token if:
 - (a) the underlying no longer exists and the token has not been cancelled in accordance with paragraph (2);
 - (b) the token is no longer functional;
 - (c) O has lost the means to transfer the token; or
 - (d) for some other reason, it is appropriate for the token to be cancelled.

Examples

The following are examples of circumstances in which an application may be made to the QFC Court to cancel a permitted token:

- 1 A permitted token is stored on token infrastructure where a coding glitch has rendered the token non-functional.
- 2 A permitted token is stored on token infrastructure which requires the token owner to verify any transaction with a private key and the token owner’s custodian has lost the private key.
- (6) A person acting on O’s behalf (for example, O’s custodian), may make the application.
- (7) The applicant must satisfy the Court:
 - (a) that O is the token owner; and
 - (b) either:
 - (i) if the application is made on the grounds mentioned in paragraph (5) (a), (b) or (c), that the circumstance specified in that paragraph exists; or
 - (ii) if the application is made on the grounds mentioned in paragraph (5) (d), that it is appropriate to cancel the permitted token.

- (8) If the underlying is a contractual right, the Court must be satisfied that the applicant has taken all reasonable steps to ensure that each other party to the contract is given an opportunity to make representations to the Court.
- (9) The Court may take evidence from any other party it thinks has an interest in the application.
- (10) If an application is granted:
 - (a) the Court may order the token to be cancelled by the token generator and that notice of the cancellation be published on the token generator's website, and on a website specified and approved by the Authority, as soon as is reasonably practicable;
 - (b) if the application was made on the grounds mentioned in paragraph (5) (b), (c) or (d), the Court may make an order permitting O to take all necessary steps to document, or otherwise confirm, O's right to the underlying represented by the cancelled token:
 - (i) without tokenising it; or
 - (ii) by requiring a token generator to generate a permitted token representing O's right to the underlying and over which O has control over the power to transfer;
 - (c) the Court may make any other order it considers necessary or appropriate in the circumstances, including an order requiring O to pay a token generator's reasonable expenses associated with the generation of a new permitted token.
- (11) For these Regulations, cancellation of a token includes any action taken on token infrastructure that renders the token inoperable and incapable of being controlled by any person.

Article 17 Remedies in event of unlawful action

- (1) A person ("A") may make an application to the QFC Court for an order under paragraph (2) if A has suffered loss as a result of the transfer of a permitted token by another person ("B") who is not the owner of the token (an ***unlawful transfer***).
- (2) The Court, in granting A's application, may make any order it considers necessary or appropriate in the circumstances, including:
 - (a) requiring B to pay damages to A, and to any affected third party, as the Court considers appropriate; or
 - (b) requiring B, or any third party who has subsequently acquired the permitted token, to take any action to restore A's rights as they were before the unlawful transfer, as the Court considers appropriate and practicable in the circumstances (including

transferring the token to A, cancelling the token, or generating another token on behalf of A).

- (3) The Court may take evidence from any other party it thinks has an interest in the application.
- (4) Nothing in this Article affects any person's liability under the criminal law of the State.

Part 3 Token services

Article 18 Licensed token services

- (1) A token service carried on in or from the QFC is, by virtue of paragraph 13 of Schedule 3 to the QFC Law, a permitted activity under the QFC Law and, in accordance with Article 10 of the Law, an entity may not carry on the activity in or from the QFC unless the entity is licensed to do so by the Authority.
- (2) A token service may not be carried on in or from the QFC in relation to an excluded token.
- (3) A **token service** means any of the following services:
 - (a) validation;
 - (b) token generation;
 - (c) token custody services;
 - (d) operating a token exchange; or
 - (e) token transfer services.

Note A token service may constitute a regulated activity under the QFC Law, if it relates to investment tokens. In which case, an entity may not carry on the activity in or from the QFC unless the entity is approved or authorised to do so by the Regulatory Authority. See the Investment Tokens Rules 2024 for further provision on regulated activities relating to investment tokens.

- (4) An entity may be licensed to carry on more than one token service only if:
 - (a) the entity has adequate systems and processes in place to ensure that provision of those services is carried on separately to the extent required to ensure that no conflicts of interest arise from providing those services; and
 - (b) in the case of a service constituting a regulated activity, the same entity carrying on those services is not prohibited by any Regulations or Rules and the entity complies with any requirements as to carrying on the services specified in Rules by the Regulatory Authority.

Article 19 Validation

- (1) **Validation** means the service of:
 - (a) confirming that a person is the owner of a right capable of being represented by a permitted token; and
 - (b) issuing a certificate of validation.
- (2) An entity licensed to provide validation services may be referred to as a **validator**.

Article 20 Token generation

- (1) **Token generation** means the service of generating a token on token infrastructure on behalf of the owner of the underlying represented by the token.
- (2) An entity licensed to provide token generation services may be referred to as a **token generator**.
- (3) A token generator must have regard to any token technology guidance when developing token infrastructure or generating tokens on such infrastructure.

Article 21 Token custody services

- (1) **Token custody services** means the service of:
 - (a) holding or controlling tokens on behalf of clients; or
 - (b) holding or controlling the means by which clients' tokens may be recorded and transacted on token infrastructure.

Example

A company that holds or safeguards the private keys for its clients' tokens is providing custody services in relation to those tokens.

- (2) An entity licensed to provide token custody services may be referred to as a **token custodian**.

Article 22 Operating a token exchange

- (1) **Operating a token exchange** means operating a system which brings together multiple third party buying and selling interests in tokens, in accordance with the system's non-discretionary rules, in a way that results in a contract in respect of the tokens.
- (2) But an entity which operates a facility which is merely an order routing system where buying and selling interests in, or orders for, tokens are merely transmitted but do not interact is not operating a token exchange.
- (3) An entity licensed to operate a token exchange may be referred to as a **token exchange**.

Article 23 Token transfer services

- (1) ***Token transfer services*** means providing any service (other than validation, token generation, token custody services or operating a token exchange) that facilitates the transfer of a token to, or from, a person from, or to, a third party.
- (2) Selling hardware or software which may be used in relation to the transfer of a token does not constitute a token transfer service.
- (3) An entity licensed to provide token transfer services may be referred to as a ***token transfer service provider***.